



Equity Note

May 9, 2026

Industry IC Wafers	
Recommendation Buy	
Share Price NT\$802	6 Month Target Price NT\$901

Reason for Note: TP Revision, Estimates Revision, Operating Results, Company Update

Trading Data

% Upside to TP	12.34
52-week range (NT\$)	276.18-793.00
Market cap. (NT\$m)	379130
Market cap. (US\$m)	12,071
Shares outstanding (mn)	478.00
Major shareholders (%)	46.96
FINI (%)	29.39
Domestic investment trust (%)	6.55
Long margin (%)	6.87

Key Ratios 2025

Shareholders' equity (NT\$m)	93,299
ROA (%)	3.3
ROE (%)	7.93
Net gearing (%)	57.27

Company Profile

GlobalWafers (GWC), the world's third-largest silicon wafer manufacturer, supplies 3-inch to 12-inch epitaxial wafers, polished wafers, annealed wafers, and Silicon-On-Insulator (SOI).

Major Customers: Samsung, Intel, TSMC (2330 TT), Micron

Major Competitors: Japan-based Shin-Etsu and SUMCO, Germany-based Siltronic AG, South Korea-based SK Siltron

Yen Chun Wang

stanley.wang@sinopac.com

GlobalWafers (6488 TT)

Trough is behind

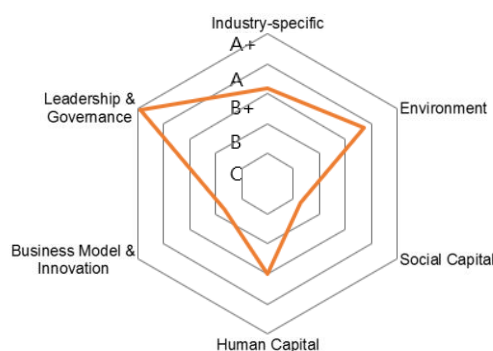
SinoPac View: GlobalWafers (GWC) is seeing rising client interest in long-term agreements (LTAs), which should support prices hikes and consequently boost its 2026-2027 earnings. Coupled with emerging demand across GWC's product lines, we believe its operational trough is behind.

Raise TP by 53.8% to NT\$901 (4.0x 2027F BVPS); Maintain Buy: 1) We think the silicon wafer industry is recovering from the trough in 1Q26, as current demand looks sustainable; 2) Clients have reached out to GWC to negotiate new LTAs, centering on local production to ensure stable supply; 3) Rolling our valuation basis forward to 2027, we raise our TP to NT\$901 (4.0x 2027F BVPS) from NT\$586 (2.9x old 2026F BVPS); we upped the P/B multiple because we think the silicon wafer industry and GWC are in the early stages of a recovery; 4) Valuation: At the MAY 8 close (NT\$802), GWC traded at 3.9x new 2026F BVPS of NT\$206.15 (3x 2027F BVPS of NT\$225.1), vs. a P/B range of 1.6-4.1 in recent years.

SinoPac+ ESG Rating System ranking

GWC gets an A rating under SinoPac+ ESG Rating System, receiving A scores in both industry-specific and cross-industry aspects.

SinoPac+ ESG Rating System score



Sustainability aspect		Rating
Total		A
Industry-specific		A
Cross-industry		A
Cross-industry dimension	Environment	A
	Social Capital	B
	Human Capital	A
	Business Model and Innovation	B
	Leadership and Governance	A+

Source: SinoPac+ ESG Rating System

Note 1: PricewaterhouseCoopers (PwC) Sustainability Services Company Ltd. provides consulting services regarding designing criteria for the SinoPac+ ESG Rating System. It does not guarantee the integrity and accuracy of the score results or analysis, nor having liability to any third party who reads or uses this analysis report.

Note 2: SASB Authorization: SinoPac Securities Investment Service licenses and applies the SASB Materiality Map® General Issue Categories and Disclosure Topics in our work.

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This is an updated version of a Chinese note (and English flash) published on MAY 6.

Please see penultimate page for additional important disclosures.

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Company profile: GlobalWafers Co., Ltd (GWC), formerly a semiconductor division of Sino-American Silicon (SAS, 5483 TT), became an independent corporation in 2011. With its successful acquisition strategy, it has been enlarging its business scale and building a global clientele. It is now the world's third-largest silicon wafer manufacturer with 18 production bases across 9 countries (Taiwan, China, the US, Japan, Denmark, South Korea, Italy, Malaysia, and Singapore), supplying 3-inch to 12-inch epitaxial wafers, polished wafers, annealed wafers, Silicon-on-Insulator (SOI), and float zone (FZ) wafers.

1Q26A:

- Sales: NT\$13.99bn (-3.6% QoQ, -10.3% YoY)
- GM: 20.8% (-4.9 ppts QoQ), hurt by reduced government subsidies (-0.8 ppts), new capacity ramp-up costs (-2 ppts), and higher energy costs (-2 ppts)
- Op. expense: NT\$1.43bn (+6.8% QoQ, -5.5% YoY), mainly due to elevated expense in GlobalWafers America (GWA)
- Op. profit: NT\$1.47bn (-38.0% QoQ, -43.0% YoY)
- Net profit: NT\$1.90bn (-14.0% QoQ, +30.2% YoY)
- EPS: NT\$3.97, beating our estimate at NT\$3.32

At end-1Q26, pre-payment remained lofty at NT\$23.5bn/US\$740mn (-6.3% QoQ), reflecting the sustained execution of LTAs.

Table 1: 1Q26A vs. 1Q26F

NT\$mn	1Q26A	1Q26F	Diff (%)	% QoQ	% YoY
Sales	13,985	14,210	-1.6	-3.6	-10.3
Gross profit	2,914	3,286	-11.3	-21.8	-29.1
Operating profit	1,475	1,818	-18.9	-38.0	-43.0
Pre-tax profit	2,347	2,118	10.8	-19.3	10.0
Net profit	1,896	1,589	19.4	-14.0	30.2
EPS (NT\$)	3.97	3.32			
Margin (%)					
Gross margin	20.8	23.1	--	--	--
Operating margin	10.5	12.8	--	--	--
Pre-tax margin	16.8	14.9	--	--	--
Net margin	13.6	11.2	--	--	--

Source: CMoney, SinoPac forecasts; consolidated

Operational rebound upon market recovery

GlobalWafers said AI-driven demand has spilled over from cloud to edge and end-user devices, amplifying demand for high-end wafers required by advanced process and advance packaging technologies. The demand has even spread into new categories, such as humanoid robotics. As a result, GWC's UTR of the existing 12-inch wafer capacity has remained at high levels (fully loaded if excluding the new capacities). Meanwhile, UTR of its 8-inch wafers is recovering alongside demand for PMIC and analog IC. Turning more positive than its tone in MAR, the company believes demand bottomed out in 1Q26 and expects its operational performance to improve sequentially in 2Q-4Q26.

LTA prices will reflect expected cost increases

Recently, many mainstay clients have reached out to GWC to negotiate LTA to secure wafer supply and local production. Management said LTA prices would not be solely based on current market prices; instead, they will properly reflect the long-term costs dynamics (such as energy cost, geopolitical tensions, shipping cost, and potential

tariff cost). GWC assumes spot prices will rise in 2H26 with larger price increases for 12-inch wafers than 6-inch/8-inch wafers as the capacity is fully loaded. GWC will follow suit to raise prices for new LTAs. We now believe the industry recovery will come earlier than our previous expectation at 2H27.

Financial forecasts

As we expect a general recovery in the wafer market in 2026 vs. 2025, the timing is advantageous for GWC to negotiate with clients for fair margins as it has expanded capacities at clients' request.

Our 2026F (revised):

- Sales: NT\$66.72bn (+11.8% YoY)
- GM: 24.0% (vs. old est. 25.8%)
- Net profit: NT\$8.92bn (+22.0% YoY)
- EPS: NT\$18.66, vs. old estimate at NT\$18.19
- BVPS: NT\$206.15, vs. old estimate at NT\$205.68

Our 2027F:

- Sales: NT\$85.2bn (+25.9% YoY)
- GM: 28.3%
- Net profit: NT\$13.5bn (+51.8% YoY)
- EPS: NT\$28.32
- BVPS: NT\$225.1

Table 2: Our revised 2026F; 2027F

NT\$m	New 2026F	Old 2026F	Diff (%)	2027F	% YoY
Sales	67,719	66,363	2.0	85,266	25.9
Gross profit	16,224	17,111	-5.2	24,129	48.7
Operating profit	9,942	10,399	-4.4	16,856	69.5
Pre-tax profit	11,714	11,599	1.0	18,056	54.1
Net profit	8,921	8,699	2.5	13,542	51.8
EPS (NT\$)	18.66	18.19		28.32	
Margin (%)					
Gross margin	24.0	25.8	--	28.3	--
Operating margin	14.7	15.7	--	19.8	--
Pre-tax margin	17.3	17.5	--	21.2	--
Net margin	17.3	17.7	--	22.2	--

Source: CMoney, SinoPac forecasts; consolidated

Appendix 1: Quarterly income statement

FY to Dec 31 (NT\$mn)	1Q26	2Q26F	3Q26F	4Q26F	2026F
Sales	13,985	16,452	18,114	19,168	67,719
Gross profit	2,914	3,531	4,091	5,689	16,224
Operating profit	1,475	1,982	2,466	4,019	9,942
Pre-tax profit	2,347	2,282	2,766	4,319	11,714
Net profit	1,896	1,711	2,074	3,239	8,921
EPS (NT\$)	3.97	3.58	4.34	6.77	18.66
QoQ sales change (%)	-3.57	17.64	10.10	5.82	--
YoY sales change (%)	-10.32	2.78	24.98	32.17	11.75
Gross margin (%)	20.84	21.46	22.58	29.68	23.96
Operating margin (%)	10.55	12.05	13.61	20.97	14.68
Net margin (%)	13.56	10.40	11.45	16.90	13.17

Source: CMoney, SinoPac forecasts; consolidated

Appendix 2: 5-year income statement

FY to Dec 31 (NT\$mn)	2023	2024	2025	2026F	2027F
Sales	70,652	62,626	60,598	67,719	85,266
% change	0.52	-11.36	-3.24	11.75	25.91
Gross profit	26,441	19,804	14,624	16,224	24,129
Gross margin (%)	37.42	31.62	24.13	23.96	28.3
Operating profit	20,059	14,118	8,636	9,942	16,856
Pre-tax profit	26,496	12,429	9,516	11,714	18,056
% change	31.78	-53.09	-23.43	23.1	54.14
Net profit	19,772	9,846	7,312	8,921	13,542
% change	28.66	-50.20	-25.74	22	51.8
EPS (NT\$)	45.41	21.06	15.29	18.66	28.32
Consensus EPS (NT\$)	--	--	--	20.51	--
P/E (x)	17.46	37.65	51.86	42.50	28.00
P/B (x)	5.20	4.16	4.06	3.85	3.52
BVPS (NT\$)	152.37	190.40	195.14	206.15	225.14
DPS (NT\$)	19.00	11.00	7.70	--	--
Yield (%)	3.48	3.00	1.90	--	--

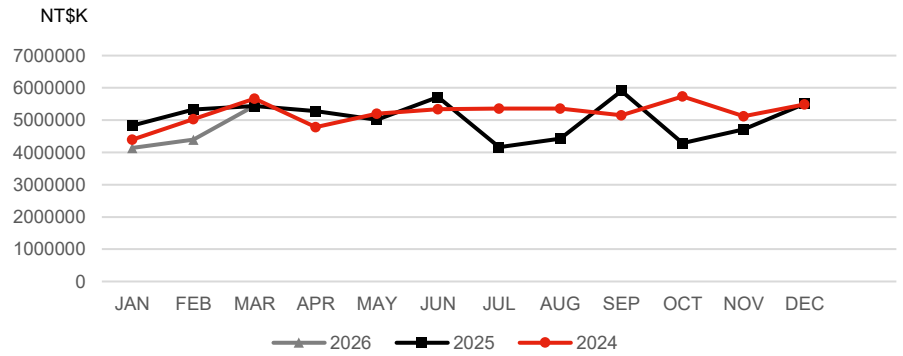
Source: CMoney, SinoPac forecasts; consolidated

Operational Performance and Valuation

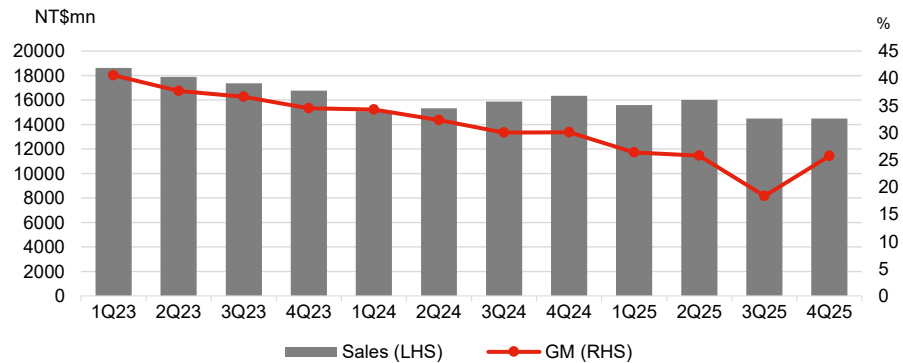
Peer comparison (companies' local currency unless noted)

Ticker (TT)	Company	Rating	Mkt. close	Mkt. cap. \$100mn	EPS		P/E (x)		P/B (x)	
					2025	2026F	2025	2026F	2025	2026F

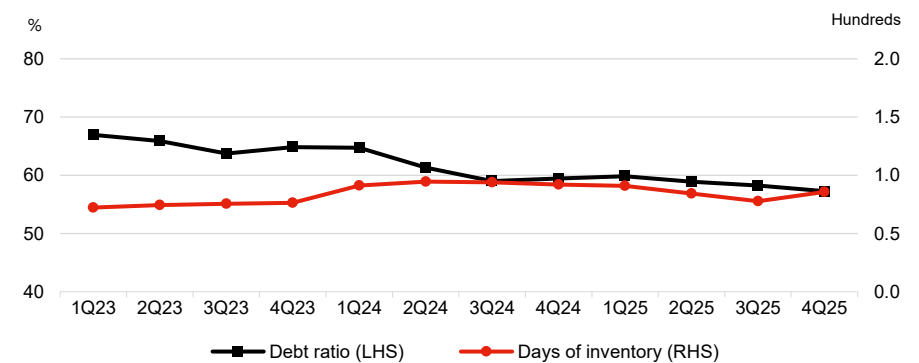
3-year monthly sales



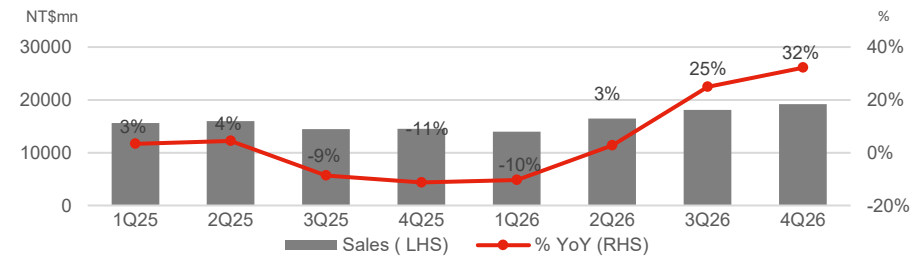
3-year quarterly sales and GM



Debt ratio and days of inventory

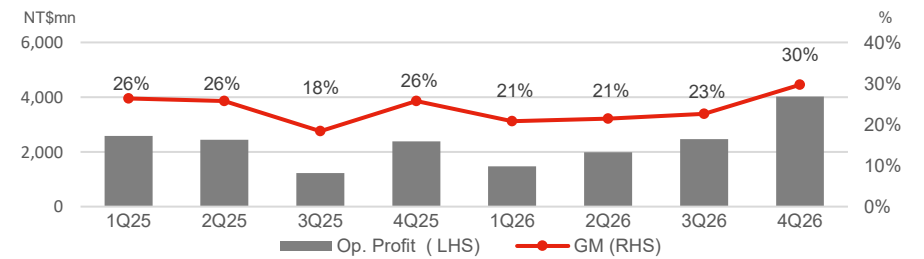


Sales and YoY Growth



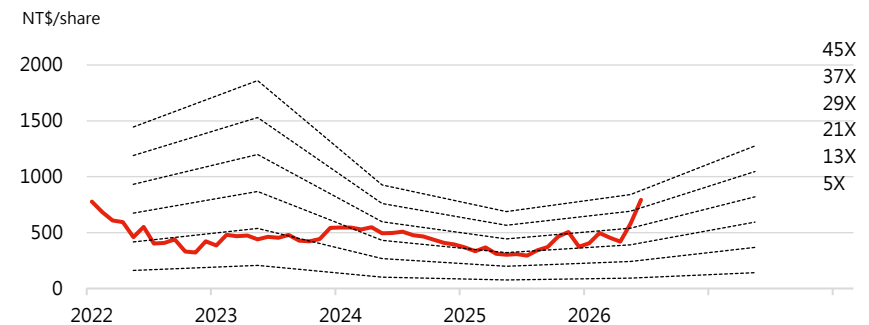
Source: CMoney, SinoPac

Operating Profit and Gross Margin

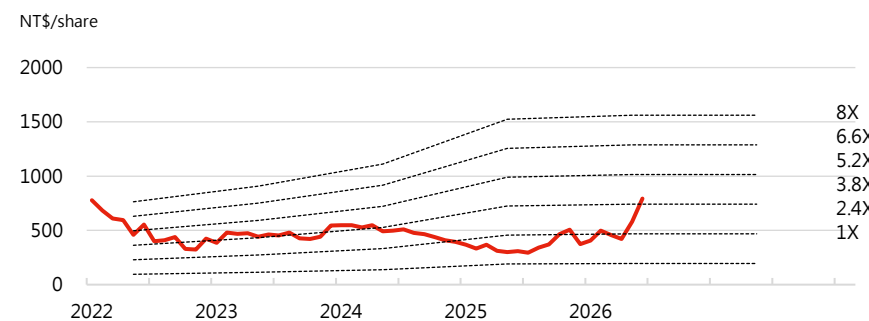


Source: CMoney, SinoPac

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Questions pertaining to this report can be directed to
SinoPac Securities Investment Service
14F, No. 80, Sec. 1, Zhongxiao W. Rd., Taipei City 100, Taiwan, R.O.C.
Tel (886 2) 2361-0868 Fax (886 2) 2361-0828
Bloomberg page: RESP SINO

Research Produced by SinoPac Securities Investment Services,

14F, No. 80, Sec. 1, Zhongxiao W. Rd.
Taipei 100
Taiwan, R.O.C.
Tel: (886 2) 2361-0868

Other Contact Information**Taipei**

SinoPac Securities Corporation
17F, 2 Chung Ching S. Road, Sec 1
Taipei 100
Taiwan, R.O.C.
Tel: (886 2) 2316-5591

Hong Kong

SinoPac Securities (Asia) Ltd.
7th Floor, Lee Garden Three, 1 Sunning Road
Causeway Bay
Hong Kong
Tel: (852) 2586-8288

Our U.S. Partner

Auerbach Grayson & Company
20 West 55th Street
New York, NY 10019 USA
Tel: (1 212) 557-4444

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A+: The company falls in the top 20% of all Taiwan's listed companies in managing and disclosing ESG performance)

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C: The company falls in the 81-100% of all Taiwan's listed companies in managing and disclosing ESG performance.

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Research Department

Kuanchieh Liao

Head of Tech Sector; PCB

kuanchieh.liao@sinopac.com

Wen-wen Wang

IC Design

wenwen.wang@sinopac.com

Warren Fu

Headset, Panel, Touchscreen Technology, LED

warrenf.fu@sinopac.com

Yen Chun Wang

Foundry, IC Distribution Channel, Equipment

stanley.wang@sinopac.com

Hsiming Huang

PC-related Segments (motherboard, desktop, notebook, components, thermal module)

hsiming.huang@sinopac.com

Jim Fei

Networking, Telecommunication, IC Design (MCU), Memory

jim.fe@sinopac.com

Chris Chang

Passive Components, Solar Power, Industrial computer, Connectors

chihhao.chang@sinopac.com

Ted Wei

Wind Power, III-V Semiconductors, Semiconductor Testing Solutions

yuntai.wei@sinopac.com

Yili Chen

Transportation, Tourism (including Foodservice Channel), Hospitality, Iron and Steel

yili.chen@sinopac.com

Fion Chen

Biotech, Golf Club Heads, Cultural & Creative

fion.chen@sinopac.com

Iris Lin

Industrial and Electrical Machinery, Food

iris.lin@sinopac.com

Vicky Chang

Auto/Auto Parts, E-commerce, Retail

yurou.chang@sinopac.com

Andy Su

Financials, Construction, Software, Optical lens

andy.su@sinopac.com

Bill Yeh

Petrochemical, Textile, Specialty Chemicals, Rubber

bill.yeh@sinopac.com